

Step 2: Determine Your Income Gap

The next step is to add up the sources of all of your retirement income benefits or guaranteed pension benefits. Start by getting your Social Security estimate and move on to any DB pensions you are entitled to from work. Make sure to differentiate income sources that are adjusted annually for inflation, such as Social Security and many state pension plans, from income sources that are not adjusted for inflation.

The difference between your retirement needs and your guaranteed retirement income is your *income gap*. This number can be \$10,000 or \$100,000 or \$1,000,000 but is truly the most important number in retirement income planning.

For now, if 85% of your retirement income needs will be supplied by a Defined Benefit (DB) pension that generates inflation adjusted income, then you are hedged against most of your retirement risks. Stated differently, if your income gap is a mere 15% of your projected income needs, then you do not need to get any insurance or other forms of guarantees and protection. For many people though, an 85% replacement rate from pensions and Social Security, is not very likely. Refer back to Figure 8.1 for a graphical illustration of this calculation.

Now, let's move to the asset side of your personal balance sheet and the investment assets that are available to close the income gap. Presumably, as I explained in Chapter 1, "You, Inc.," you have by now converted most of your human capital into financial capital, which is your financial nest egg. Add up the value of the 401(k), 403(b), IRA, stocks, bonds, mutual funds, and other investment-based (that is, DC) pensions. Anything you can and are willing to sell should be included in this calculation of wealth. At this point you should not include the value of your house unless you plan to sell, move out, and use the funds to generate your retirement income. For now, this is your "financial assets number."

We are now ready for the big question. What is the mathematical ratio between the market value of your financial assets and your income gap? The larger the mathematical ratio is, the better your situation. For example, if your financial asset value is \$1,000,000 and your income gap is \$50,000, then your ratio is 20. But, if you have the same \$1,000,000 in financial assets and your income gap is a higher \$100,000 then your ratio is 10.